

HOUSE No. 55



MAURA T. HEALEY
GOVERNOR

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KIMBERLEY DRISCOLL
LIEUTENANT GOVERNOR

January 22, 2025

To the Honorable Senate and House of Representatives,

I am filing for your consideration a bill entitled “An Act Making Appropriations for Fiscal Year 2025 (FY25) to Provide for Supplementing Certain Existing Appropriations and for Certain Other Activities and Projects.”

The proposal filed today would allocate \$1.32 billion gross in excess income surtax collections from fiscal year 2023 and 2024.

Our administration is committed to using these voter-approved dollars to support transformational investments in our transportation and education systems. When combined with our House 1 budget, this bill will make historic investments in our public transportation system, enabling \$8 billion in new infrastructure investments over the next 10 years, stabilizing the MBTA, supporting the transportation workforce, and providing needed resources to municipalities and regional and local transit providers. Our investments in education will help create an education to workforce pipeline through investments in our career technical education institutions, reducing waitlists for our English for Speakers of Other Languages (ESOL) services, and expanding successful state programs like early college and innovation pathways under our Reimagining High School Initiative. Education investments will compliment House 1 budget proposals to advance major initiatives in early education and support for cities and towns.

In total, this legislation proposes to appropriate \$857.5 million toward our transportation system and \$462.5 million for education.

For transportation, this supplemental budget would allocate:

\$780 million for the MBTA, including:

\$400 million for a safety and workforce reserve dedicated to responding to Federal Transit Administration findings and implementing solutions

\$300 million to replenish the MBTA's reserves to ensure operational sustainability

\$67 million for the continued ramp up of the income-eligible fare relief program, which began in September 2024 and has now surpassed 30,000 eligible participants

\$13 million to reimburse the MBTA for mitigation efforts to support commuters and riders during the Sumner Tunnel closure

\$52.5 million for the Massachusetts Department of Transportation, including:

\$25 million for a Winter Resiliency Assistance Program to support local cities and towns to prepare for winter storm events

\$17.5 million for a workforce and capital project delivery reserve to enable MassDOT to deliver more projects, programs, and technical assistance to local and regional partners

\$10 million for microtransit and last mile grants to improve mobility choices for underserved communities and people across the state

\$25 million for the Regional Transit Authorities for workforce and training initiatives

For education, this supplemental budget would also allocate:

\$150 million to support special education circuit breaker reimbursements in FY26, fully meeting our commitment to the Student Opportunity Act

\$150 million to increase capacity in our early education and care system, including \$50 million to expand the Commonwealth Preschool Partnership Initiative and continue down the path towards universal Pre-K

\$75 million for grants to our career and technical education institutions to expand capacity and reduce waitlists

\$32.5 million for the Reimagining High School Initiative, including expansions for early college and innovation pathways programs

\$30 million to better coordinate and address the growing waitlist for ESOL services with an emphasis on vocational learning

\$25 million for high dosage tutoring

This proposal provides an opportunity for us to put our surtax dollars to work in ways that substantially improve the lives of our residents, businesses and communities. I look forward to working with you on these transformative proposals and helping Massachusetts become an even better place to live.

Respectfully submitted,

Maura T. Healey,
Governor

HOUSE No. 55

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act making appropriations for the fiscal year 2025 to provide for supplementing certain existing appropriations and for certain other activities and projects.

Whereas, The deferred operation of this act would tend to defeat its purposes, which are to make supplemental appropriations for fiscal year 2025 and to make certain changes in law, each of which is immediately necessary to carry out those appropriations or to accomplish other important public purposes, therefore it is hereby declared to be an emergency law, necessary for the immediate preservation of the public convenience.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. To provide for supplementing certain items in the general appropriations act
2 and other appropriation acts for fiscal year 2025, the sums set forth in sections 2 are hereby
3 appropriated from the Education and Transportation Fund established in section 2BBBBBB of
4 chapter 29 of the General Laws and the Education and Transportation Innovation Fund
5 established in section 2DDDDDD of said chapter 29 for the purposes and subject to the
6 conditions specified in this section and subject to the laws regulating the disbursement of public
7 funds for the fiscal year ending June 30, 2025. All appropriations in this section shall not be
8 subject to section 5D of chapter 29 of the General Laws. These sums shall be in addition to any
9 amounts previously appropriated and made available for the purposes of those items. These sums
10 shall be made available through the fiscal year ending June 30, 2028.

SECTION 2.

TRANSPORTATION

Massachusetts Department of Transportation

1596-2405 MBTA Low-Income Fare Relief\$67,000,000

1596-2427 MBTA Workforce/Safety Reserve\$400,000,000

SECTION 2A. The sums set forth in this section are hereby appropriated from the Education and Transportation Fund and the Education and Transportation Innovation and Capital Fund for the purposes and subject to the conditions specified in this section and subject to the laws regulating the disbursement of public funds for the fiscal year ending June 30, 2025. All appropriations in this section shall not be subject to section 5D of chapter 29 of the General Laws. These sums shall be made available through the fiscal year ending June 30, 2028.

EXECUTIVE OFFICE OF EDUCATION

Office of the Secretary

1596-2510 For the development and expansion of initiatives to reimagine the high school experience and prioritize college and career readiness including, but not limited to, early college, workforce, technical and innovation pathway programs; provided, that such programs shall incorporate the guiding principles of designated pathways; and provided further, that not later than August 15 of each year funds are available in this item, the executive office of education shall submit a report to the joint committee on education and the house and senate committees on

30 ways and means detailing the amount of funds expended and the number of students served by
31 each initiative in the prior school year\$32,500,000

32 1596-2513 For a grant program for capital improvements and other initiatives necessary
33 to build capacity and safely accommodate additional career technical education school slots;
34 provided, that the funds shall be administered by the executive office of education, in
35 consultation with the Massachusetts School Building Authority and the executive office of labor
36 and workforce development; and provided further, that in determining a process for awarding
37 grants, the executive office shall prioritize meeting the workforce demands of regional
38 employers, reducing demonstrable waitlists at career and technical education schools and
39 providing equitable access to career and technical skills training.....\$75,000,000

40 *Department of Early Education and Care*

41 1596-2511 For initiatives to support workforce, affordability, and quality improvements
42 in the early education and care sector; provided, that funds may be transferred at the direction of
43 the secretary of administration and finance to the Early Education and Care Operational Grant
44 Fund established in section 19 of chapter 15D of the General Laws; provided further, that
45 notwithstanding any general or special laws to the contrary, funds from said transfer may be
46 expended from said fund for one-time improvements that assist all families in connecting to child
47 care providers and other initiatives to support capacity building and workforce supports
48 for early education and care providers.....\$100,000,000

49 1596-2512 For planning and implementation activities in cities, towns, regional school
50 districts or educational collaboratives to expand pre-kindergarten or preschool opportunities on a
51 voluntary basis to children who will be eligible for kindergarten within two school years,

52 utilizing the Massachusetts Preschool Expansion Grant public-private partnership model;
53 provided, that preference shall be given to districts in gateway municipalities as defined under
54 section 3A of chapter 23A of the General Laws or districts serving high percentages of high-
55 needs students; provided further, that additional preference shall be given to districts that have
56 completed strategic planning efforts that support expanding access to high-quality preschool;
57 provided further, that notwithstanding any general or special law to the contrary, funds
58 distributed from this item shall be deposited with the treasurer of the city, town, regional school
59 district or educational collaborative and held in a separate account and shall be expended by the
60 school committee of such city, town, regional school district or educational collaborative without
61 further appropriation; provided further, that funds may be expended for Summer Step Up to
62 support children entering kindergarten and early elementary school with academic and
63 enrichment activities during the summer; provided further, that funds from this line item shall be
64 expended in coordination with funds from item 3000-6025; and provided further, that funds from
65 this item may be used to provide administrative support to grantees, including technical
66 assistance and program evaluation\$50,000,000

67 *Department of Elementary and Secondary Education.*

68 1596-2514 For grants to reduce the waitlist for English for Speakers of Other Language
69 services; provided, that funds shall be administered by the department of elementary and
70 secondary education in coordination with the Workforce Skills Cabinet established in Executive
71 Order No. 560, dated February 26, 2015; provided, that in determining a process for awarding
72 grants, the department shall prioritize programs focused on training workers with the English
73 language skills needed to fill in-demand jobs; and provided further, that the commissioner of
74 elementary and secondary education may transfer funds to item 7035-0002 and expend said

75 funds subject to the conditions specified in said item in the general appropriations act for that
76 year.....\$30,000,000

77 1596-2515 For an early literacy high dosage tutoring initiative directed by the
78 commissioner of elementary and secondary education; provided, that said program shall support
79 Massachusetts public schools and districts to partner with providers approved by the department
80 of elementary and secondary education to address pandemic-related learning loss and other
81 identified underperformance in order to support accelerated literacy growth for students in
82 kindergarten through grade 3; provided further, that students characterized as below benchmark
83 in grade 1 shall be prioritized; provided further, that funds may support activities including, but
84 not limited to: (i) providing early literacy tutoring services for students in kindergarten through
85 grade 3 who have not met relevant benchmarks on department of elementary and secondary
86 education-approved early literacy screening assessments; (ii) administering said screening
87 assessments for participating students as well as collecting and sharing pre/post tutoring data;
88 (iii) studying the impact of the provided tutoring; and (iv) providing in person or virtual
89 foundational skills-focused tutoring services per department of elementary and secondary
90 education guidance; and provided further, that participating entities may include, but shall not be
91 limited to: (a) public schools; and (b) districts serving a large proportion of high-needs
92 students.....\$25,000,000

93 1596-2516 For a reserve to support reimbursements to school districts and direct
94 payments to service providers for special education costs pursuant to section 5A of chapter 71B
95 of the General Laws and item 7061-0012; provided, that reimbursements shall be made in the
96 fiscal year ending on June 30, 2026 for costs incurred in the fiscal year ending on June 30, 2025;
97 and provided further, that funds may be transferred to said item 7061-0012 and expended subject

to the conditions specified in said item in the general appropriations act for that
year.....\$150,000,000

TRANSPORTATION

Massachusetts Department of Transportation

1595-6380 For an operating transfer to the Massachusetts Transportation Trust Fund
established in section 4 of chapter 6C of the General Laws for grants to municipalities for a
winter resilience assistance program; provided, that funds may be expended for transportation
projects including, but not limited to: (i) the rehabilitation, reconstruction, resurfacing and
preservation of roadways and appurtenances; (ii) the repair or replacement of traffic control
devices, signage, guardrails and storm grates; (iii) road striping or painting; and (iv) resilience
improvements to roadway and related infrastructure to adapt to climate change; provided further,
that funds shall be distributed using a formula based on each municipality's share of road
mileage; and provided further, that not later than December 30, 2025, the Massachusetts
Department of Transportation shall submit a report to the house and senate committees on ways
and means and the joint committee on transportation that shall include, but not be limited to: (a)
the methodology used to distribute funds from this item; (b) a list of all municipalities that
received funding for projects through these grants; (c) the amount of grant funds awarded to each
municipality; and (d) a description of the projects implemented in each
municipality.....\$25,000,000

1596-2505 For an operating transfer to the Massachusetts Transportation Trust Fund
established in said section 4 of said chapter 6C for a program to support grants for workforce and
training initiatives at regional transit authorities and support transit improvements across the

120 commonwealth; provided, that the Massachusetts Department of Transportation shall oversee the
121 distribution of grants under this item; and provided further, that not later than March 1, 2026, the
122 department shall submit a report to the joint committee on transportation and the house and
123 senate committees on ways and means that shall include, but not be limited to: (i) the grant
124 criteria used to determine awards; (ii) a list of grant recipients, including the amounts received by
125 each recipient; and (iii) a description of the specific uses by each recipient\$25,000,000

126 1596-2506 For an operating transfer to the Massachusetts Transportation Trust Fund
127 established in said section 4 of said chapter 6C for a program to support grants for microtransit
128 initiatives and last mile transportation solutions; including, but not limited to providers that
129 expand mobility options for rural communities and extend service to veterans, working families,
130 older adults, people with disabilities, and low-income individuals, to provide mobility choices to
131 people with mobility needs, and to extend equitable and affordable transportation mobility
132 improvements in the commonwealth\$10,000,000

133 1596-2507 For an operating transfer to the Massachusetts Transportation Trust Fund
134 established in said section 4 of said chapter 6C to support workforce and capital project delivery
135 initiatives within the highway division and rail and transit division to support capital
136 improvements, resilient infrastructure, technical and related assistance to municipalities, and
137 enhance transportation capital project delivery across the commonwealth\$17,500,000

138 1595-2508 For an operating transfer to the Massachusetts Bay Transportation Authority
139 to replenish the Massachusetts Bay Transportation Authority deficiency fund; provided, that the
140 Massachusetts Bay Transportation Authority shall notify the Massachusetts Department of
141 Transportation, executive office for administration and finance, house and senate committees on

142 ways and means and the joint committee on transportation not less than 30 days in advance of
143 when funding will be withdrawn from the Massachusetts Bay Transportation Authority
144 deficiency fund; and provided further, that not later than June 30, 2025, the Massachusetts Bay
145 Transportation Authority shall submit a written deficiency fund policy to the Massachusetts
146 Department of Transportation, the executive office for administration and finance, the joint
147 committee on transportation and the house and senate committees on ways and
148 means.....\$300,000,000

149 1596-2509 For an operating transfer to the Massachusetts Bay Transportation Authority
150 under clause (1) of subsection (d) of section 2ZZZ of chapter 29 of the General Laws for direct
151 costs and lost revenues attributable to initiatives undertaken by the Massachusetts Bay
152 Transportation Authority to mitigate traffic impacts related to the closure of the Sumner Tunnel
153 during fiscal years 2024 and 2025; provided, that the Massachusetts Bay Transportation
154 Authority shall submit a report to the Massachusetts Department of Transportation, the joint
155 committee on transportation and the house and senate committees on ways and means detailing
156 the initiatives undertaken by the Massachusetts Bay Transportation Authority to mitigate traffic
157 impacts related to the closure of the Sumner Tunnel for maintenance\$13,000,000

158 SECTION 3. Notwithstanding any general or special law to the contrary, income surtax
159 revenue, as defined in section 2BBBBBB of chapter 29 of the General Laws, collected in the
160 fiscal year ending on June 30, 2024 but certified after July 20, 2024, shall be transferred to the
161 Education and Transportation Innovation and Capital Fund established in section 2DDDDDD of
162 said chapter 29 from the Student Opportunity Act Investment Fund established in section 35RRR
163 of chapter 10 of the General Laws, not later than 30 days after the effective date of this act.